Session 22: Revenue Recognition I: IFRS15 and the Five-Step Model

By the end of this session you must know why IFRS15 replaced IAS11/IAS18, the core principle and definition of revenue, and be able to apply all five steps of the IFRS15 model (identify the contract, identify performance obligations, determine the transaction price, allocate it, and recognise revenue as obligations are satisfied), including contract costs and the resulting balance-sheet items.

Plan

1. Why IFRS15 Replaced IAS11/IAS18
2. Basic Concepts: What Is Revenue, and the Core Principle
3. Step 1: Identify the Contract
4. Step 2: Identify the Performance Obligations
5. Step 3: Determine the Transaction Price
6. Step 4: Allocate the Transaction Price
7. Step 5: Recognise Revenue as Obligations Are Satisfied
8. Contract Costs and Presentation
9. Disclosure Requirements
10. Common Mistakes and Exam Traps
11. Must Know Absolutely

1. Why IFRS15 Replaced IAS11/IAS18

- IFRS15 (Revenue from Contracts with Customers) was a joint FASB/IASB project aiming to create a single, principles-based revenue standard applicable across US GAAP and IFRS and across every industry. Though industries that previously relied on industry-specific guidance (software, construction, real estate, and US GAAP companies generally) were affected the most.
- It was issued in May 2014, effective for periods after 1 January 2018 (early application permitted), and supersedes IAS11 (Construction Contracts) and IAS18 (Revenue). Its US counterpart is Topic 606 (superseding ASC 605).
- Leases, insurance contracts, financial instruments and biological assets are all explicitly excluded from its scope, since they are governed by their own standards.
- Both prior regimes were deficient in opposite ways: US GAAP had complex, highly detailed industry- or transaction-specific rules, producing different accounting treatment for economically similar transactions. IFRS's IAS11/IAS18 were comparatively vague and hard to apply consistently.
- Neither regime coped well with evolving business models. The slides give mobile phone contracts bundled with a free phone, and software sold together with training and future upgrades, as examples of arrangements the old rules struggled with.

Must know (what IFRS15 was designed to accomplish):
• A more robust framework for revenue recognition issues
• Removal of inconsistencies across existing requirements
• Improved comparability across companies, industries and capital markets
• Improved disclosure requirements
• Simplified financial statement preparation via streamlined guidance

2. Basic Concepts: What Is Revenue, and the Core Principle

Revenue: income arising in the course of an entity's ordinary activities, generally from the sale of goods or the provision of services to customers. Revenue specifically **excludes**: borrowings. Amounts contributed by shareholders (e.g. equity issues), and gains (e.g. gains on disposal of non-current assets).

Core principle of IFRS15: an entity recognises revenue from contracts with customers when it transfers promised goods or services to the customer. **not** when cash is paid. The amount of revenue recognised is the transaction price: the consideration the entity expects to be entitled to in exchange for the transferred goods or services.

3. Step 1: Identify the Contract

Contract: an agreement between two parties that creates enforceable rights and obligations.

A contract with a customer is accounted for under IFRS15 only when all of the following hold:

- The parties are committed to the contract.
- Each party's rights regarding the goods/services to be transferred can be identified.
- Payment terms can be identified.
- The contract has commercial substance.
- It is probable that the entity will collect the consideration due.
- Payments received from a customer before these conditions are satisfied are recognised as a liability, not revenue.

Framework agreement: entities S and C sign an 18-month agreement laying down prices, rebates, payment conditions and shipping terms for staple consumables, but without specifying exact goods and quantities upfront. Those will be specified in future purchase orders C places under the agreement. At signing, IFRS15's criteria are not yet met (the exact goods/quantities are not identified), so no contract exists yet for accounting purposes. The criteria are likely met only when C places a specific order, since the framework agreement combined with that order then satisfies all five conditions.

4. Step 2: Identify the Performance Obligations

Performance obligation: a promise in a contract with a customer to transfer good(s) or service(s) to the customer.

Distinct good or service: a good or service is distinct if (a) the customer could benefit from it on its own, and (b) the promise to transfer it is separately identifiable within the contract.

- An entity accounts separately for each performance obligation that is distinct.
- If a promised good or service is not distinct, it must be combined with other promised goods/services into a single "bundle," which may result in all the goods/services promised in a contract being treated as one performance obligation, when they are highly interrelated.

CRM software with customisation consulting (€600,000 total): the company provides a significant integration service combining the software licence and the consulting into one combined item, and the software is significantly customised to the customer's specifications. Because of this significant integration and customisation, the licence and consulting services are accounted for together as **one** performance obligation, with revenue recognised over time using an appropriate measure of progress.

Hospital design-and-build: the company manages the entire project (site clearance, procurement, installation, finishing), providing significant integration of highly interrelated goods and services into a single combined item (the hospital). The whole bundle is treated as **one** performance obligation, again recognised over time via progress measurement.

5. Step 3: Determine the Transaction Price

Transaction price: the amount of consideration an entity expects to be entitled to in exchange for transferring promised goods or services to a customer.

- The transaction price may vary due to discounts, refunds, incentives, penalties and similar items.
- Variable consideration is estimated using whichever of two methods best predicts the amount:

Must know (two estimation methods for variable consideration):
• **Expected value method:** the probability-weighted sum across a range of possible outcomes, appropriate when there is a range of possible amounts
• **Most likely amount method:** the single most likely outcome, appropriate when the contract effectively has only two possible outcomes (e.g. an all-or-nothing bonus)

Late-delivery penalty (expected value method): agreed price €500,000, with a €20,000/week penalty for late delivery. Estimated probabilities: 80% on time (no penalty), 10% one week late (−20,000), 10% two weeks late (−40,000). This is a range-of-outcomes scenario, so the expected value method applies: expected penalty = (80%×0) + (10%×20,000) + (10%×40,000) = 0 + 2,000 + 4,000 = €6,000. Transaction price = 500,000 − 6,000 = **€494,000**.

Completion bonus (most likely amount method): base price €1,000,000, plus a €100,000 bonus if completed by end of 2017, with no bonus at all if even one day late (a binary, not a graduated, outcome). Estimated probability of on-time completion = 95%. Because the outcome is binary (bonus or no bonus, not a range), the most-likely-amount method is the appropriate one: since 95% > 50%, the most likely outcome is on-time completion and receipt of the bonus. Transaction price = 1,000,000 + 100,000 = **€1,100,000**.

6. Step 4: Allocate the Transaction Price

- The transaction price is allocated between performance obligations proportionally, based on each obligation's stand-alone selling price.
- If the transaction price is less than the sum of the stand-alone selling prices, the customer is receiving a bundle discount, which is generally allocated proportionately across the performance obligations. With exceptions depending on contract specifics (e.g. when there is observable evidence the discount relates to only some of the obligations).

Products A, B, C sold together for €36 (standalone prices €9, €11, €20, A+B together regularly sold for €16): because A and B are transferred at the same time, the company treats them as one combined performance obligation, with product C as a second, separate obligation. Since the company has observable evidence that A+B together are regularly sold for €16 (a €4 discount off their combined standalone price of 9+11=20) while C is regularly sold alone at its full €20 price, the €4 discount is allocated entirely to A+B, not spread across all three. Allocation: A+B combined = €16. C = €20. Total = €36.

7. Step 5: Recognise Revenue as Obligations Are Satisfied

Recognition rule: revenue is recognised when (or as) a performance obligation is satisfied, i.e. when the customer obtains control of the good or service, in the amount previously allocated to that obligation. If satisfied **at a point in time**, revenue is recognised entirely at that moment. If satisfied **over time**, revenue is recognised according to progress toward complete satisfaction.

Must know (two ways to measure progress for over-time obligations):
• **Output methods:** direct measurement of goods/services transferred to date (e.g. units delivered, time elapsed)
• **Input methods:** the entity's inputs to date relative to total inputs required (e.g. hours spent, costs incurred)
• The chosen method must faithfully depict the entity's actual progress

Bundled network service (€35,000 upfront, 1 July, for connection + 1-year access + 1-year troubleshooting, standalone prices: connection €5,000, access €12,000, troubleshooting €23,000, reporting year-end 30 June the following year):

Step 4 (allocation): total standalone prices = 5,000+12,000+23,000 = 40,000, against a contract price of 35,000 (a proportionate €5,000 bundle discount, no evidence it relates to only some obligations, so spread proportionally): connection = 5,000/40,000 × 35,000 = €4,375. Access = 12,000/40,000 × 35,000 = €10,500. Troubleshooting = 23,000/40,000 × 35,000 = €20,125 (sum = 35,000).

Step 5 (recognition, for the year ended 30 June): the connection service is satisfied at a point in time (at connection, 1 July) → the full €4,375 is recognised immediately. Access and troubleshooting are both satisfied over time, evenly across the 1-year service period. Since the reporting date (30 June) falls exactly one year after the contract began (1 July), the full year has elapsed by year-end, so the full €10,500 and €20,125 are also recognised by that date. Total revenue recognised for the year = €35,000 (the entire contract price), since the reporting period happens to align exactly with the full service term.

8. Contract Costs and Presentation

Contract costs (contract asset): costs incurred toward fulfilling a performance obligation are recognised as a contract asset (until the obligation is satisfied) if (a) they relate directly to the specific contract, (b) they generate resources expected to be used to satisfy obligations, and (c) they are expected to be recovered. They are then expensed and matched against the revenue recognised as the obligation is satisfied.

IT outsourcing contract: a company incurs €10,000 in selling commission costs to obtain a 5-year outsourcing contract, under which the customer pays a fixed €20,000/month. The €10,000 incremental cost of obtaining the contract is recognised as an asset and amortised over the 5-year contract term (i.e. matched against the revenue the contract generates over that same period).

Must know (balance sheet presentation of contract-related items):
• **Contract asset:** recognised when the entity has performed (transferred goods/services) but its right to consideration is conditional on something *other than* the mere passage of time (e.g. further performance still required)
• **Receivable:** recognised when the entity's right to consideration is unconditional except for the passage of time
• **Contract liability:** recognised when the customer has paid *before* the entity has transferred the related goods or services

9. Disclosure Requirements

Must know (main IFRS15 disclosures):
• The amount of revenue for the period, analysed into appropriate categories
• Any impairment losses on contract assets or receivables arising from customer contracts
• Opening and closing balances of contract assets and contract liabilities, with an explanation of significant changes
• The amount of revenue allocated to performance obligations that remain unsatisfied at period-end
• Significant judgements made in applying IFRS15's requirements

10. Common Mistakes and Exam Traps

- Recognising revenue when cash is received rather than when control of the good/service transfers to the customer. This is exactly the distinction IFRS15's core principle is built to enforce.
- Treating goods/services as separate performance obligations just because they are itemised separately in a contract. The distinctness test (customer can benefit on its own, and the promise is separately identifiable) governs, not the contract's line-item structure. Highly integrated/customised bundles (CRM software example, hospital example) are single obligations regardless of how they're itemised.
- Using the expected value method for a genuinely binary outcome (or vice versa). A graduated range of outcomes calls for probability-weighted expected value. An all-or-nothing outcome calls for the most likely amount.
- Allocating a bundle discount proportionally across all performance obligations even when there is observable evidence it relates to only some of them (as in the A/B/C example). Observable standalone-price evidence should override a purely proportional split when it points to a specific obligation.
- Confusing a contract asset with a receivable. A contract asset's right to consideration is still conditional on something beyond the passage of time (e.g. further performance). A receivable is unconditional except for time.

11. Must Know Absolutely

Must know:
• Core principle: recognise revenue when control transfers, not when cash is received. Amount = transaction price
• Five steps: (1) identify the contract (5 conditions), (2) identify distinct performance obligations, (3) determine the transaction price (expected value vs. most likely amount for variable consideration), (4) allocate proportionally by stand-alone selling price, (5) recognise as/when each obligation is satisfied (point in time vs. over time, output vs. input progress methods)
• Contract costs of obtaining/fulfilling a contract are capitalised as a contract asset (if directly related, resource-generating, and recoverable) and amortised against the related revenue
• Balance sheet: contract asset (performance done, payment still conditional on more than time), receivable (payment unconditional except for time), contract liability (payment received before performance)